Granton

OPERATIONS

How to calculate your runway

5 steps to know how long your cash lasts

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1

Start with usable cash

Use the balance you can actually spend today, after setting aside money you already owe, such as overdue tax and super.

2

Work out net monthly burn

Subtract monthly income from monthly spending. The result is the cash you lose each month.

- Include wages, super, tax and subscriptions

3

Divide cash by burn

Cash divided by net monthly burn gives runway in months. For example, $90,000 in cash and $15,000 of monthly burn gives 6 months.

4

Recalculate every month

Burn rises when you hire or when customers pay late, so a single number goes out of date quickly. Track the trend.

5

Look for ways to extend it

Remove costs that do not affect delivery, invoice sooner and negotiate payment terms. Start funding conversations early, as they often take months.

Pass it on

Share it with a founder who has not checked their numbers recently.